

affiliates, and the like. Would it not be normal rather than extraordinary for one or more to prove unprofitable, and to require closing down? Similarly for such things as a contract to build a wall. Suppose that any time a company had a loss on any part of its business it had the bright idea of charging it off as a “special item,” and thus reporting its “primary earnings” per share so as to include only its profitable contracts and operations? Like King Edward VII’s sundial, that marked only the “sunny hours.”*

The reader should note two ingenious aspects of the ALCOA procedure we have been discussing. The first is that by *anticipating future losses* the company escapes the necessity of allocating the losses themselves to an identifiable year. They don’t belong in 1970, because they were not actually taken in that year. And they won’t be *shown* in the year when they are actually taken, because they have already been provided for. Neat work, but might it not be just a little misleading?

The ALCOA footnote says nothing about the future tax saving from these losses. (Most other statements of this sort state specifically that only the “after-tax effect” has been charged off.) If the ALCOA figure represents future losses before the related tax credit, then not only will future earnings be freed from the weight of these charges (as they are actually incurred), but they will be *increased* by a tax credit of some 50% thereof. It is difficult to believe that the accounts will be handled that way. But it is a fact that certain companies which have had large losses in the past have been able to report future earnings without charging the normal taxes against them, in that way making a very fine profits appearance indeed—based paradoxically enough on their past disgraces. (Tax credits resulting from *past years’* losses are now being shown separately as “special items,” but they will enter into future statistics as part of the final “net-income” figure. However, a reserve now set up for *future* losses, if *net* of expected tax credit, should not create an addition of this sort to the net income of later years.)

The other ingenious feature is the use by ALCOA and many other companies of the 1970 year-end for making these special charge-offs. The stock market took what appeared to be a blood bath in the first half of 1970. Everyone expected relatively poor results for the year for most companies. Wall Street was now anticipating better results in 1971, 1972, etc. What a nice arrangement, then, to charge as much as possible to the bad year, which had already been written off mentally and had virtually receded into